

## Multiple Choice

1. **Answer:** E

*Options:* A) Captive product pricing.; B) High-low pricing.; C) Price skimming.; D) Value added pricing.; E) Penetration pricing.

*Note:* Penetration pricing is a strategy where a company sets a low price to attract customers and quickly gain market share in a competitive market.

2. **Answer:** A

*Options:* A) \$182.45; B) \$125.75; C) \$233.35; D) \$300.20; E) \$160.65

*Note:* The correct answer of \$182.45 reflects the annual premium cost of a 20-year endowment policy, which typically has higher premiums than a limited payment policy due to its dual purpose of providing both death benefit and cash value accumulation within a specified period.

3. **Answer:** C

*Options:* A) \$2.00; B) \$9.00; C) \$4.00; D) \$1.50; E) \$10.00

*Note:* The correct answer is 4.00 because the interest on the loan is calculated using the formula  $I = \frac{PRT}{365}$ , where  $I$  is the interest,  $P$  is the principal (400),  $R$  is the annual interest rate (6% or 0.06), and  $T$  is the time in years (60 days, or 60/365), resulting in  $I = 400 * 0.06 * (60/365) = \$4.00$ .

4. **Answer:** A

*Options:* A) 94 days; B) 96 days; C) 95 days; D) 88 days; E) 87 days

*Note:* The correct answer of 94 days is derived by calculating the total days from September 2 to December 3, which includes 29 days in September, 31 days in October, 30 days in November, and 3 days in December.

5. **Answer:** A

*Options:* A) \$80.00; B) \$180.00; C) \$110.00; D) \$240.00; E) \$75.00

*Note:* The dollar markup is calculated by subtracting the cost to the store (120) from the selling price (200), resulting in a markup of \$80.00.

## True / False

6. **Answer:** False

*Options:* A) True; B) False

*Note:* The effective yield of a bond is calculated based on its purchase price and the coupon payments, and in this case, a bond with a higher purchase yield than the coupon rate would actually indicate a return higher than the stated coupon rate, making the statement false.

7. **Answer:** False

*Options:* A) True; B) False

*Note:* Control groups are used to assess internal validity by providing a baseline for comparison, while face validity is concerned with the extent to which a test appears effective in terms of its stated aims, rather than its empirical results.

8. **Answer:** True

*Options:* A) True; B) False

*Note:* Harry's commission of 4% on 2,100 in sales is calculated as 2,100 multiplied by 0.04, which equals \$84.

9. **Answer:** True

*Options:* A) True; B) False

*Note:* The statement is true because the present value of a future cash flow can be calculated using the formula  $PV = FV / (1 + r)^n$ , where FV is the future value (100),  $r$  is the discount rate (0.05), and  $n$  is the number of years (5), resulting in a present value of approximately 75.51.

10. **Answer:** False

*Options:* A) True; B) False

*Note:* The statement is false because the interest on a 6-month loan of 300 at an 8

## Long Form Response

11. **Answer:** Work specialization, also known as division of labor, refers to the practice of dividing tasks among individuals to enhance efficiency and productivity within an organization. By allowing employees to focus on specific tasks that align with their skills and expertise, organizations can increase output and reduce the time required to complete projects. This specialization can lead to higher levels of productivity as workers become more adept at their assigned roles. However, while work specialization can enhance efficiency, it may also impact team dynamics negatively by fostering silos and reducing collaboration among team members. Therefore, it is crucial for organizations to balance the benefits of specialization with the need for teamwork and communication to maintain a cohesive work environment.

*Note:* The answer correctly identifies work specialization as a strategy that improves efficiency and productivity by allowing employees to focus on specific tasks that leverage their skills, while also acknowledging the potential implications for team dynamics.

12. **Answer:** When Mr. Stone borrows 4,000 for ninety days at a 6 percent discount rate, the calculation of the discount is 4,000 multiplied by the discount rate (6% or 0.06) and then by the fraction of the year the loan is outstanding (90/360), resulting in a discount of 60. Consequently, the actual amount that Mr. Stone receives is 4,000 minus the 60 discount, which totals 3,940. This example illustrates the implications of discount loans in banking, as borrowers receive less than the nominal loan amount, impacting their cash flow and financial planning.

*Note:* correct because it accurately calculates the discount amount on the loan by applying the discount rate to the principal for the appropriate fraction of the year, resulting in the correct net amount Mr. Stone receives after the discount is deducted.

*End of Answer Key*